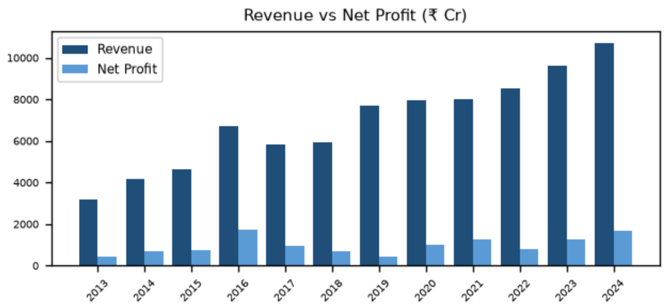
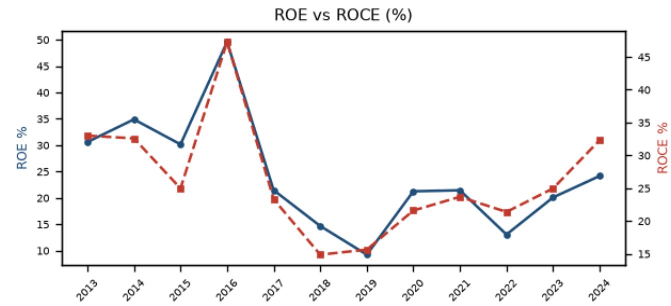
Torrent Pharmaceuticals Ltd (TORNTPHARM)

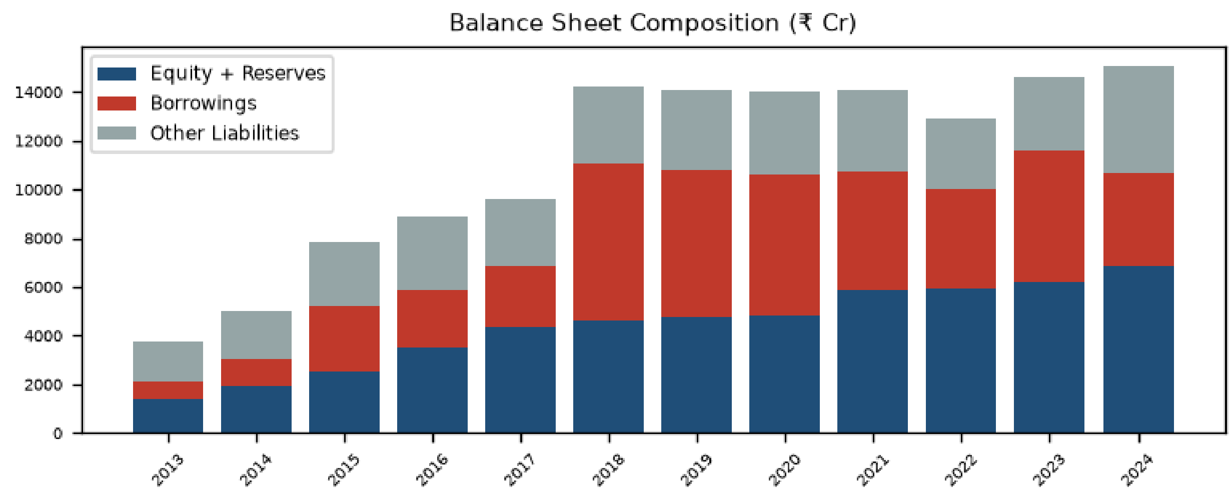
Healthcare — Pharmaceuticals

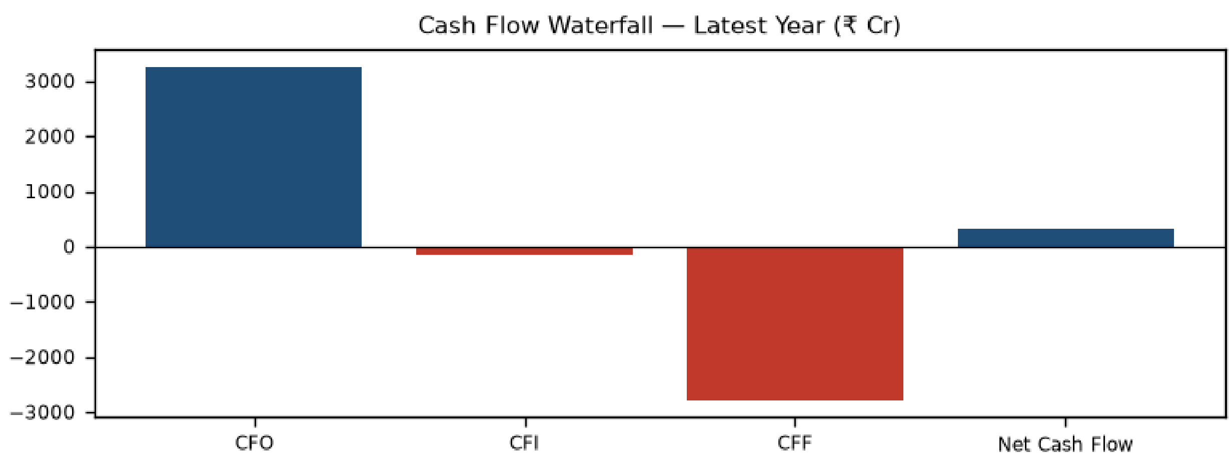
ROE	ROCE	Net Profit Margin
24.2%	32.3%	15.4%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
0.6x	6.9%	3106





Torrent Pharmaceuticals Ltd (TORNTPHARM) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Shareholder Returns

Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (85% confidence)
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (63% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (65% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (68% confidence)
✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (84% confidence)

Cons

✗ No single metric triggers a high-confidence concern, but leverage relative to peers is worth monitoring (45% confidence)